

Reddit, Inc.

Q2 2026 earnings preview and beat / miss model

RDDT : NYSE | Social platform, digital advertising and AI data licensing

1 EXECUTIVE SUMMARY

Reddit occupies an unusual position in the internet value chain: it monetises the same asset twice. Roughly a hundred thousand volunteer-moderated communities generate a corpus of human conversation at no marginal cost to the company. That corpus is sold once as attention, to advertisers, which is 94% of revenue; and again as data, to the companies building large language models, which is the remaining 6%. The dependency that makes both work is the same one that threatens both: Google. Google search delivers the majority of Reddit's daily users, Google is one of its two licensing counterparties, and Google's AI Overviews are the most direct competitive threat to the discovery mechanism the whole model rests on.

Event: Thursday 30 July 2026, after the US close; release historically ~16:06 ET, call 16:30-17:00 ET	Market cap: US\$32-36bn (aggregators diverge); share price approximately US\$170-180
Revenue (FY25): US\$2.2bn, +69% year on year; Q1 2026 US\$663m, +69%	Margins (Q1 2026): Gross 91.5%; adjusted EBITDA 40%; net 30.8%; capex US\$1m
Q2 2026 guidance: Revenue US\$715-725m (+43-45%); adjusted EBITDA US\$285-295m	Q2 2026 consensus: Revenue US\$731-745m; GAAP diluted EPS US\$0.95-0.99; global DAUq 130.30m
Share count: 192.5m outstanding (Class A + Class B); 206.4m fully diluted	Balance sheet: Net cash roughly US\$2.8bn; negligible debt; US\$1bn buyback authorised Feb 2026
HQ: San Francisco, California	

The set-up is the mirror image of a normal preview, and then it inverts again. Consensus revenue of US\$744.94m on the hardest feed sits 2.8% above the top of Reddit's own guided range of US\$715-725m, which would normally mean a high bar. But Reddit systematically guides low: it has beaten its own revenue guidance midpoint by 8.3%, 9.9% and 10.6% in the last three quarters, a beat that is widening rather than fading, and it has beaten consensus revenue in five consecutive quarters and consensus earnings in eight. Consensus therefore credits only about a third of the habitual sandbag. Reddit needs to deliver roughly a third of its normal beat to clear the bar.

On that basis we put approximately 85% probability on a revenue beat against the hardest consensus print, with a base case of US\$775m, and approximately 82% on a GAAP earnings beat, with a base case of US\$1.19 against consensus of US\$0.97. The earnings bar is the softer of the two: at Reddit's 91.5% gross margin and roughly 60% incremental EBITDA margin, simply delivering the guidance midpoint produces about US\$1.07 of earnings per share, which already beats. To miss on earnings, Reddit would need a legal, severance or tax charge, or a step-up in marketing spend of the kind that grew that line 104% year on year in Q4 2025 -- which is precisely what happened to Meta two days ago.

The share price is a different question and we put it at roughly a coin flip, marginally positive at 55%. Two things sit between a good print and a good reaction. First, this company trades on daily users, not on revenue: in Q4 2024 Reddit grew revenue 71% and beat, and the stock fell about 14% after hours because daily active uniques came in below estimates. US daily uniques grew 7% last quarter against 28% internationally, and US logged-in growth has decelerated for five consecutive quarters. Second, on 22 July the Wall Street Journal reported that Reddit is weighing whether to renew its roughly US\$60m per year Google data licensing deal; the shares fell about 9% that day and the overhang is unresolved. What management says about the Google and OpenAI renewals may matter more tonight than any number in the release.

This is an event preview, not an initiation. It contains no price target and no recommendation, and the probabilities are judgements from the evidence set out below, offered so that they can be argued with.

2 TECHNOLOGY DEEP-DIVE

ELI5 — The two products, in plain terms

Imagine a vast public library where the books are written by volunteers and the librarians work for free. Reddit owns the building. It sells two things. The first is shelf space next to the books people are actually reading: an advertiser who knows a visitor is in the camera-buying aisle will pay well to be seen there, because intent is visible in a way it is not on a feed of friends' holiday photos. The second is a photocopier licence: the AI companies want the whole collection, because a library of real arguments about which camera to buy is far more useful for training a machine to sound human than a library of press releases. The catch is that most visitors are sent to the library by a single map publisher -- Google -- and that publisher has started printing summaries of the books on its maps, so fewer people walk through the door.

The advertising engine, mechanically. Reddit runs a real-time auction: for each available impression, candidate ads are ranked by bid multiplied by a predicted action rate, so the auction is won by expected value rather than by price. The whole system's accuracy therefore depends on the quality of the conversion signal fed back into the prediction model -- did the click become an install, a sign-up, a purchase. This is why the mix shift management disclosed matters: performance advertising, meaning ads sold against a measurable action rather than brand exposure, passed 60% of total ad revenue in Q1 2026. Performance formats generate their own training data, so each incremental advertiser improves targeting for the next one. That compounding is visible in the pricing line rather than the user line: global average revenue per unique rose 42% year on year in Q4 2025 to US\$5.98, with the US figure up 53% to US\$10.79, at a time when US daily uniques were growing only 9%.

Reddit's structural advantage in this auction is intent resolution. A search-referred visitor arriving on a thread titled with a specific purchase question has declared both a category and a stage in the buying process, in text, without any behavioural inference. That is a higher quality signal than a social graph provides, and it is why Reddit's ARPU can grow at 40%-plus off a small user base. The corresponding weakness is that the signal arrives through somebody else's front door.

The data asset, mechanically. What model builders pay for is not raw text volume, which is abundant and cheap, but three properties that are scarce. First, dialogue structure: a Reddit thread is a tree of claims, corrections and counter-arguments with an attached human score in the form of votes, which makes it directly usable as preference data for the alignment stage of training rather than only for pre-training. Second, freshness delivered as structured records: paid Data API access provides organised, real-time posts and comments, which a web crawl of the same pages does not reproduce in structure, latency or contractual permission. Third, coverage of long-tail practical knowledge -- the troubleshooting, comparison and experience questions that no publisher writes down. That combination is why Reddit is reported to be the second most-cited source in Google's AI Overviews, and it is the substance of the company's negotiating leverage.

Revenue line / product	What it is and the disclosed metrics	Competes against
Advertising -- performance	Auction-based ads sold against measurable actions. Passed 60% of total ad revenue in Q1 2026. Ad revenue grew 74% year on year in Q1 2026 to US\$625m, and 75% in Q4 2025. Self-service tooling has been increasingly automated using the company's own AI systems.	Meta performance ads; Google Search and Performance Max; Pinterest; Snap; Amazon ads
Advertising -- brand and reach	Large-advertiser formats sold on exposure. Management described broad-based demand across large, mid-market and small-business advertisers in Q3 2025.	Meta; YouTube; connected-TV inventory; programmatic display
Data licensing (reported within Other revenue)	Paid, structured, real-time Data API access for model training and content display. Other revenue was US\$39m in Q1 2026, up only 15% year on year, after 8% in Q4 2025 and 7% in Q3 2025. Total licensing contracts were disclosed at US\$203m at the 2024 IPO; the Google and OpenAI agreements are reported at roughly US\$60m and US\$70m per year respectively.	Other licensable corpora: Stack Overflow, news publishers, Shutterstock-type archives, and the free alternative of uncompensated web crawling

Revenue line / product	What it is and the disclosed metrics	Competes against
Audience metrics disclosed	Daily active uniques (DAUq) 126.8m in Q1 2026, +17%; US 53.5m, +7%; international 73.3m, +28%. Weekly active uniques 471.6m in Q4 2025, +24%. ARPU US\$5.23 globally and US\$9.63 in the US in Q1 2026. The logged-in versus logged-out split will be discontinued after Q3 2026.	n/a -- but note the metric definitions are company-specific and not comparable to Meta's daily active people

Why the current cycle changes the demand profile, and in which direction. The AI cycle acts on Reddit through three channels that pull against each other, and the net effect is genuinely contested. Channel one is licensing, where the quantum is large relative to the company: combined Google and OpenAI licensing at a roughly US\$130m annual run rate is only about 4% of the FY2026 revenue trajectory, but one sell-side estimate cited in press coverage puts the renegotiated combined value at about US\$550m, which would be more than four times the current run rate and roughly 13% of revenue at close to a 95% incremental margin. Nothing else in Reddit's model offers that kind of asymmetry.

Channel two is disintermediation, and it works the other way. Pew research cited in the reporting found that users clicked a traditional search link in about 15% of searches without an AI Overview, 8% when an Overview was present, and 1% for links inside the summary itself. Semrush-type panel data showed US organic Google traffic falling roughly 50% for USA Today, 25% for CNN, 23% for Politico and more than 85% for Business Insider between June 2025 and June 2026. Reddit is not exempt from that mechanism, and consensus expects 77.17m of its 130.30m daily uniques -- about 59% -- to be logged-out, most of them search-referred. Channel three is advertising demand: AI-driven ad tooling across the industry is expanding budgets, which is why Meta reported ad impressions up 14% and average price per ad up 12% in the same quarter Reddit is about to report. The uncomfortable synthesis is that the same technology raises the value of Reddit's corpus, raises the value of its ad inventory, and erodes the channel that fills it.

3 SUPPLY CHAIN MAPPING

ELI5 — What a supply chain means for a platform

Reddit does not buy components, so the useful question is not who makes its parts but who supplies the four things it cannot manufacture: the content, the visitors, the money, and the computers. The content comes from users and unpaid moderators. The visitors come mostly from Google. The money comes from advertisers. The computers come from a cloud provider. Three of those four are concentrated, and one company -- Google -- appears in the chain three separate times: as the main source of visitors, as a paying customer for the data, and as the competitor now answering the questions that used to bring the visitors.

Input / dependency	Supplier situation	Single-source?	Risk note
Content supply	Users, organised by unpaid volunteer moderators across roughly a hundred thousand active communities	Structurally, yes	Zero marginal cost and the source of the 91.5% gross margin, but it is not contractually secured. Reddit has previously faced coordinated moderator protests over API pricing; a repeat during a licensing dispute would hit content supply and public perception at once.
Distribution -- search referral	Google, overwhelmingly, with the remainder from direct and app traffic	Effectively yes	THE core dependency. Consensus expects logged-out daily uniques of 77.17m out of 130.30m, roughly 59% of the total, most search-referred. Google's AI Overviews reduce click-through from about 15% to 8%, and to 1% for links inside a summary.
Licensing counterparties	Google at roughly US\$60m a year since February 2024; OpenAI at an estimated US\$70m a year since May 2024. Both up for renewal in 2026.	Two customers, so yes in effect	Two counterparties are essentially the whole licensing line. One of them is also the distribution channel, which means Reddit cannot press hard on price without touching the channel. That is the structural bind.

Input / dependency	Supplier situation	Single-source?	Risk note
Advertiser demand	Broad-based across large, mid-market and small-business advertisers; no single advertiser disclosed as material	No	The healthiest link in the chain. Meta's Q2 print showed ad impressions up 14% and price per ad up 12%, so pricing was firm through the quarter Reddit is reporting.
Compute and hosting	Third-party cloud infrastructure	Not disclosed	Capital expenditure of about US\$1m a quarter, under 1% of revenue, against hyperscaler capex in the tens of billions. Reddit rents rather than builds, which is the reason free cash flow exceeded US\$300m in Q1 on US\$663m of revenue.
Regulatory environment	UK Competition and Markets Authority; US and EU platform regulation	n/a	A tailwind for once: in June 2026 the CMA ordered Google to let publishers opt out of AI search features without losing conventional search placement. Google will trial this in Britain first, with no stated timeline for wider rollout.

One distinction is worth stating precisely because the headlines have blurred it. Declining to renew the licensing agreement is not the same as leaving Google search. The agreement covers paid, structured, real-time Data API access; ordinary crawling and search indexing are separate arrangements. Reddit could walk away from the licence, lose roughly US\$60m of near-100%-margin revenue -- under 2% of the FY2026 revenue base -- and remain fully indexed. The severe scenario is a different action altogether: blocking Googlebot or applying noindex directives would protect the corpus but put a large share of logged-out daily uniques at risk. Those users monetise far below logged-in users, so the revenue at risk is much smaller than the user number implies, but daily uniques is the metric this stock reacts to. Investors pricing the worst case should be clear about which of the two actions they are pricing.

4 COMPETITIVE LANDSCAPE

Reddit competes for advertising budget against platforms two orders of magnitude larger, and for user attention against a new category -- AI answer engines -- that did not exist when it listed. The table below uses the most recently reported quarter for each name.

Company	HQ	Recent revenue	Growth	Key differentiator	Weakness vs. Reddit
Reddit (RDDT)	San Francisco	US\$663m in Q1 2026; FY25 US\$2.2bn	+69% y/y, four quarters running at 68-70%	Declared purchase intent in text; 91.5% gross margin; US\$1m quarterly capex; a corpus licensable to model builders that no competitor can replicate.	Subject company. About 1% of Meta's revenue, and majority-dependent on a rival for distribution.
Meta Platforms (META)	Menlo Park	US\$60.8bn in Q2 2026; ad revenue US\$59.4bn	+28% total, +27% advertising	3.60bn daily active people, owned distribution through its own apps, and the deepest performance-ads infrastructure in the industry.	Growth is a quarter of Reddit's rate, operating margin fell from 43% to 31%, capex is US\$130-145bn for 2026 against Reddit's roughly US\$4m, and free cash flow collapsed to US\$784m in the quarter.
Alphabet (GOOGL)	Mountain View	Not restated here; 2026 capex guided to US\$180-190bn	Ad revenue growing at its fastest in years	Owns the demand-discovery layer outright and now answers questions directly through AI Overviews, capturing the intent before a click occurs.	Simultaneously Reddit's largest distribution channel, one of its two licensing customers, and its most direct threat -- an unusual three-way relationship. Trades at a similar forward price-to-sales multiple, around 8.06x, on a fraction of the growth rate.

Company	HQ	Recent revenue	Growth	Key differentiator	Weakness vs. Reddit
Pinterest (PINS)	San Francisco	Not restated here	Below Reddit's rate	Visual discovery with commercial intent and a comparable mid-cap advertising profile.	The relevant comparison is the multiple, not the model: roughly 2.53x forward sales against Reddit's 8.95x. Shares are down about 9% year to date.
Snap (SNAP)	Santa Monica	Not restated here	Below Reddit's rate	Young-demographic reach and messaging-native formats.	Weaker intent signal and a long record of ad-platform rebuilds; not a licensing story.
AI answer engines	Various	n/a	n/a	Gemini, ChatGPT and Perplexity answer the practical, comparison and troubleshooting questions that historically routed users to Reddit threads.	Not competitors for ad budget today, and several are Reddit's licensing customers. The threat is to the discovery mechanism, not to monetisation -- which makes it harder to see in the revenue line until it is well advanced.

The moat is community structure rather than data volume, and the distinction matters. Anyone can scrape Reddit's text; nobody can reconstitute the hundred thousand self-governing communities, the moderation norms and the voting mechanism that make the text worth scraping. That is a genuine network effect with twenty years of accumulation behind it, and it is why advertisers pay a rising price per user -- US ARPU up 53% year on year -- while user growth in the same market runs at single digits. Switching costs for advertisers are moderate and improving as performance formats and conversion data accumulate. Switching costs for users are high inside a community and near zero at the point of arrival, which is the vulnerability.

The most credible threat to the moat is Google's AI Overviews, and it is credible precisely because it does not attack the moat directly. Reddit's communities remain intact and its corpus remains valuable; what changes is that the question a user would have typed into Google, seen answered in a Reddit thread and clicked through to read is now answered on the results page using Reddit's own content. Click-through falls from about 15% to 8%, and to 1% for links inside the summary. The published evidence across comparable publishers -- roughly 50% traffic declines at USA Today, over 85% at Business Insider -- shows what the mechanism does at scale. The second-order threat is that Reddit's response to this, restricting Google's access, protects the asset while accelerating the traffic loss. There is no clean answer available to management, which is why the negotiation is taking as long as it is.

5 MANAGEMENT & GOVERNANCE

Steve Huffman co-founded Reddit in 2005, left in 2010 and returned as chief executive in 2015, so he has run the company for roughly eleven years and has been present for its entire history. Jen Wong is chief operating officer and owns the advertising business, and delivers the commercial detail on calls -- the performance-advertising mix disclosure came from her. Drew Vollero is chief financial officer and sets the guidance this note is built around. Reddit's investor relations practice is genuinely unusual: it solicits shareholder questions in the r/RDDT subreddit and answers them alongside the call, and Huffman reads community questions into the prepared remarks.

Guidance accuracy is exceptional and systematically biased in one direction, which is the single most useful fact for modelling this print. Revenue has exceeded the guided midpoint by 8.3% in Q3 2025, 9.9% in Q4 2025 and 10.6% in Q1 2026, and the beat is widening rather than narrowing. Adjusted EBITDA has behaved the same way: guided at US\$275-285m for Q4 2025 and delivered at US\$327m; guided at US\$210-220m for Q1 2026 and delivered at roughly US\$265m. Reddit has beaten consensus revenue in five consecutive quarters and consensus earnings in eight. This is a policy, not a forecasting error, and it should be treated as one: management is buying the option to beat every quarter, and the cost of that policy is that guidance

carries almost no information about the quarter being guided.

Capital allocation is conservative and, so far, coherent. Capital expenditure runs at about US\$1m a quarter, under 1% of revenue, which Huffman contrasted explicitly with hyperscaler capital spending on the Q1 call -- Meta at US\$130-145bn and Alphabet at US\$180-190bn for 2026 -- to make the point that Reddit converts revenue growth into cash rather than into data centres. Free cash flow exceeded US\$300m in Q1 on US\$663m of revenue. The board authorised a US\$1bn share repurchase programme on 5 February 2026 with no expiration date; whether any of it has been executed is one of the disclosures to look for tonight, because at 206.4m fully diluted shares any repurchase is direct earnings upside not modelled here. There is no dividend, essentially no debt, and roughly US\$2.8bn of net cash. Note also that Reddit paid only about US\$2.4m of tax over the trailing twelve months, which flatters the conversion of EBITDA into net income and will not persist indefinitely as loss carryforwards are consumed.

Governance is the weakest part of the file and deserves more weight than it usually gets. Reddit has three share classes: Class A with one vote, Class B with ten votes, and Class C with none. As of 29 April 2026 there were 141,965,642 Class A and 50,543,398 Class B shares outstanding. Advance Magazine Publishers, the Newhouse family vehicle that also owns Conde Nast, holds 42,191,092 Class B shares and controls roughly 62% of the voting power -- but those votes are subject, except in limited circumstances, to an irrevocable proxy held by Huffman under the Advance Voting Agreement. The consequence, per his Schedule 13D amendment, is that Huffman may be deemed to control approximately 70.7% of total voting power while his own economic interest is in the region of 3-4% of the company. Tencent holds roughly 6% of Class A and about 8% of voting power, with no board seat, and its separate voting agreement has terminated by its terms. The board is chaired by Kevin Scott, chief technology officer of Microsoft, and includes Huffman, Advance's Steven Newhouse and independent directors including Paula Price.

Two things follow. First, public shareholders have no mechanism to influence any decision, including the Google licensing decision that is currently the largest swing factor in the equity story. Second, the chair's day job is at a company with its own deep commercial entanglement in the model-training market, which is at minimum a conflict worth naming when the board is overseeing negotiations with Google and OpenAI. On insider activity, there have been no open-market purchases in the last three months against roughly US\$40m of sales. Huffman's disposals run through a Rule 10b5-1 plan adopted on 19 May 2025 -- for example 18,000 Class A shares on 29 May 2026 at US\$167.05-168.02 -- which is pre-scheduled and materially reduces the signal. Assessment: an operationally excellent and unusually candid management team, running a business with best-in-class unit economics, inside a control structure that gives outside shareholders no say and no recourse.

6 FINANCIAL TRAJECTORY AND THE Q2 2026 MODEL

Period	Revenue	y/y	Gross margin	Adj. EBITDA (margin)	Diluted EPS	DAUq
Q4 2024A	US\$427.7m	+71%	92.6%	US\$154m (36%)	US\$0.36	101.7m, +39%
Q1 2025A	US\$392.4m	+61%	90.5%	US\$115m (29%)	US\$0.13	108.1m, +31%
Q2 2025A	US\$499.6m	+78%	90.8%	US\$167m (33%)	US\$0.45	110.4m, +21%
Q3 2025A	US\$584.9m	+68%	91.0%	US\$236m (40%)	US\$0.80	116.0m, +19%
Q4 2025A	US\$725.6m	+70%	91.9%	US\$327m (45%)	US\$1.24	121.4m, +19%
FY2025A	US\$2.2bn	+69%	n/d	US\$845m (38%)	n/d (NI US\$530m)	n/a
Q1 2026A	US\$663.4m	+69%	91.5%	US\$265m (40%)	US\$1.01	126.8m, +17%
Q2 2026E (guide)	US\$715-725m	+43-45%	n/g	US\$285-295m (~40%)	US\$0.97 cons.	130.3m cons.

Two features of that table drive everything. The first is the stability of realised growth: 68%, 70% and 69% in the last three quarters, against guidance that implied 53-55% each time. The second is the divergence

inside the user base. US daily uniques grew 7% in Q1 2026 to 53.5m while international grew 28% to 73.3m, and US logged-in growth has now decelerated for five consecutive quarters. Revenue growth is being carried by price, not volume, in the geography that produces about 80% of it: US ARPU rose 53% year on year in Q4 2025 to US\$10.79 while international ARPU was US\$2.31. Huffman has set a goal of 100m daily US users without attaching a timeframe. Sales and marketing spend rose 103.5% year on year in Q4 2025 to US\$163.9m, which is what buying that growth looks like on the cost line.

ELI5 — Why the earnings bar is softer than the revenue bar

Reddit keeps about 91.5 cents of every revenue dollar as gross profit, and roughly 60 cents of every extra revenue dollar reaches EBITDA. So revenue upside converts into profit almost mechanically. Run the guidance midpoint straight through and you already get about US\$1.07 of earnings per share against a US\$0.97 consensus. In other words Reddit can hit its own guidance exactly, miss the revenue consensus that sits above it, and still beat on earnings. The two lines can disagree tonight, and knowing which one the market is watching matters more than either number.

The model below moves from revenue to GAAP diluted earnings per share via adjusted EBITDA and a single conversion ratio. That ratio -- net income divided by adjusted EBITDA -- carries stock-based compensation, depreciation, interest income on roughly US\$2.8bn of net cash and tax, and it has run at 69% in Q3 2025 and 77% in each of the two quarters since. It is the line to watch, because it is where Meta's quarter broke two days ago: legal charges of US\$2.4bn and severance of US\$1.2bn turned a revenue beat into a 14% earnings miss and an 8% share price fall.

US\$m unless stated	Q1 2026A	Guide midpoint	Bear	Base	Bull
Revenue	663	720	728	775	800
y/y growth	+69%	+44%	+46%	+55%	+60%
vs guide midpoint	n/a	n/a	+1.1%	+7.6%	+11.1%
Adjusted EBITDA	265	290	288	323	338
Adj. EBITDA margin	40.0%	40.3%	39.6%	41.7%	42.3%
Net income / EBITDA conversion	76.9%	76.0%	69.0%	76.0%	78.0%
Net income	204	220	199	245	264
Diluted shares (m)	206.4	206.5	206.5	206.5	206.5
GAAP diluted EPS (US\$)	1.01	1.07	0.96	1.19	1.28
Revenue vs consensus US\$744.94m	n/a	(3.3%)	(2.3%)	+4.0%	+7.4%
EPS vs consensus US\$0.97	n/a	+10%	(1%)	+23%	+32%
Probability weight	n/a	n/a	15%	55%	30%

The base case applies about 80% of the three-quarter average guidance beat of 9.6%, discounted because Q2 2025 is the toughest comparison of the year -- revenue grew 78% and advertising 84% -- and management specifically cited lapping it when setting the guide. That gives US\$775m, a 4.0% revenue beat and a 23% earnings beat. Probability weighting the three scenarios gives an expected US\$775m of revenue and US\$1.18 of earnings per share. The bear case is deliberately constructed as a regime break rather than a soft quarter: it assumes the sandbag pattern collapses to roughly 1% over the midpoint and the conversion ratio reverts to its Q3 2025 level, and even that produces US\$0.96 -- an earnings miss of one cent. Note what that implies. There is no realistic revenue path that produces a large earnings miss; only a charge or a spending step-up does that.

GAAP diluted EPS by adjusted EBITDA and conversion ratio	Conv. 64%	Conv. 69%	Conv. 74%	Conv. 78%	Conv. 82%
Adj. EBITDA US\$285m (guide low)	0.88	0.95	1.02	1.08	1.13
Adj. EBITDA US\$300m	0.93	1.00	1.08	1.13	1.19
Adj. EBITDA US\$315m	0.98	1.05	1.13	1.19	1.25
Adj. EBITDA US\$330m	1.02	1.10	1.18	1.25	1.31
Adj. EBITDA US\$345m	1.07	1.15	1.24	1.30	1.37

Read across the historical 74-78% conversion band and Reddit clears the US\$0.97 consensus on roughly US\$257-271m of adjusted EBITDA -- below the bottom of its own guidance range. Only a conversion ratio at or under about 66% puts the earnings consensus at genuine risk. The sensitivity that matters for the share price is therefore not in this table at all: it is the daily active uniques line, where consensus of 130.30m implies only 3.5m of sequential growth against an average of 5.4m over the last four quarters, but where the US component of 53.98m implies essentially no sequential growth in the geography that generates 80% of revenue.

Balance sheet and dilution. Cash and marketable securities were US\$2.06bn at June 2025 and the position has grown since; enterprise value of about US\$29.7bn against a US\$32-36bn market capitalisation implies roughly US\$2.8bn of net cash, with a debt-to-equity ratio of 0.01 and a current ratio of 12.7. Fully diluted shares were 206.4m at 31 March 2026, up only 0.2% year on year, which is unusually restrained for a company of this age and stock-based compensation load; note however that Class A shares outstanding have risen materially as Class B converts, so aggregator share-count series disagree and should be checked against the filings. Return on invested capital of roughly 137% is a function of the capital-light model rather than of leverage.

7 NEAR-TERM CATALYSTS AND RISKS

Catalyst	Timing	Impact	Probability
Revenue above the US\$744.94m consensus	Tonight, after the close	Requires only 3.5% over the guided midpoint against a three-quarter average beat of 9.6%. Base case US\$775m. Against the softer US\$731m consensus feed the probability is higher still.	High (~85%)
GAAP diluted EPS above US\$0.97	Tonight	The guidance midpoint alone produces roughly US\$1.07. Eight consecutive quarters of earnings beats. Only a charge or a marketing step-up breaks it.	High (~82%)
Global DAUq above the 130.30m consensus	Tonight	Consensus implies 3.5m sequential growth against a 5.4m average. But recent beats have been small, at +1.9% and +0.7%, so the margin of safety is thin.	Medium to high (~75%)
US DAUq above 54.5m	Tonight	The metric that actually moves the stock. Consensus of 53.98m implies almost no sequential growth from Q1's 53.5m in the geography producing 80% of revenue.	Low to medium (~40%)
Substantive update on the Google licensing renewal	Tonight, on the call	The largest single swing factor in the equity story and the reason the shares fell about 9% on 22 July. Silence is the most likely outcome and leaves the overhang in place.	Medium (~45%)
Q3 2026 revenue guide midpoint at or above the Street	Tonight, on the call	Reddit has guided above consensus for three consecutive quarters. Q3 laps a quarter that grew 68%, and Meta has just guided its own next quarter below the Street midpoint.	Medium (~60%)
Licensing repriced upward on renewal	H2 2026	One sell-side estimate puts combined Google and OpenAI licensing at about US\$550m a year on renegotiation against a roughly US\$130m run rate. At a near-95% incremental margin that is about 13% of revenue and roughly US\$400m of EBITDA. Nothing else in the model is this asymmetric.	Medium

Catalyst	Timing	Impact	Probability
Execution of the US\$1bn buyback	Any quarter	Authorised 5 February 2026 with no expiry. Any repurchase reduces the 206.4m diluted share count and is earnings upside not in the model. Disclosure tonight would also signal how management reads the 22% year-to-date de-rating.	Medium
UK CMA opt-out regime extended beyond Britain	2027 or later	Would let Reddit refuse AI Overview inclusion without losing conventional search placement, removing the bind at the centre of the Google negotiation. Google has given no timeline.	Low near term

Risk one: the stock trades on daily users, not on revenue. The precedent is precise. In Q4 2024 Reddit grew revenue 71% year on year, beat expectations, and the shares fell about 14% after hours because daily active uniques came in at 101.7m against an estimated 103m. Tonight's consensus of 130.30m global uniques looks beatable, but the US figure of 53.98m implies almost no sequential growth from 53.5m, and US logged-in growth has decelerated for five consecutive quarters -- 12% in Q2 2025, then 7% in Q3 2025, and 7% in Q1 2026. A revenue beat accompanied by a US user number starting with a 53 is a plausible and unpleasant combination.

Risk two: the Google licensing negotiation has no good outcome available. If Reddit renews at roughly the current US\$60m it validates a price the company itself now regards as too low, given that Google's AI Overviews have removed most of the referral traffic the 2024 deal was implicitly premised on. If it walks, it forfeits near-100%-margin revenue and enters a public dispute with the entity that supplies most of its users. If it escalates to blocking crawlers or applying noindex, it protects the corpus and puts a substantial share of the 77.17m expected logged-out uniques at risk. Management is negotiating from a position of real leverage -- Reddit is reported to be the second most-cited source in AI Overviews -- but leverage is not the same as a favourable set of options, and the market will not get certainty tonight.

Risk three: growth is being bought. Sales and marketing expense grew 103.5% year on year in Q4 2025 to US\$163.9m, against research and development up only 5.4%. Set against US daily unique growth of 7-9%, that is an expensive user acquisition programme, and Huffman's stated goal of 100m daily US users implies it continues. The immediate risk to tonight's print is that a further step-up in that line lands adjusted EBITDA at the guided range rather than above it; the medium-term risk is that the incremental adjusted EBITDA margin, a record 60% in Q3 2025, compresses as the cost of each additional US user rises.

Risk four: the comparison base. Q2 2025 was the strongest quarter in Reddit's history in growth terms -- revenue up 78% and advertising up 84% -- and management explicitly cited lapping it when setting a guide of 43-45%. Realised growth has been remarkably stable at 68-70% for four quarters, so the base case here assumes 55%. If the true underlying rate is decelerating faster than that, the first evidence will appear tonight, and it will appear in the Q3 guide rather than in the reported quarter. Meta guiding its own Q3 below the Street midpoint two days ago is a reminder that the deceleration question is live across the whole advertising complex.

Risk five: Meta's lesson about costs and one-offs. Meta reported Q2 revenue of US\$60.8bn, ahead of expectations, and fell 8-9% because earnings per share of US\$6.18 missed a roughly US\$7.17 estimate on US\$2.4bn of legal charges and US\$1.2bn of severance. Reddit's earnings model has a comparable vulnerability in a different form: it converted 77% of adjusted EBITDA into net income in each of the last two quarters partly because it paid only about US\$2.4m of tax over the trailing twelve months. As loss carryforwards are consumed, or if any legal or restructuring charge appears, that conversion falls and the earnings line moves several tens of cents without anything happening to the business.

Risk six: the multiple leaves no room. Reddit trades at roughly 8.95 times forward sales against 2.53x for Pinterest, 5.32x for Meta and 3.75x for the internet-software group; the forward price-to-earnings ratio of about 31.8x is more defensible and the PEG of 0.73 arguably cheap, so the answer depends entirely on which metric is doing the work. The market has already started to disagree: the shares are down about 22% year to date while 34 analysts carry an average target of US\$227.23 against a price nearer US\$175. That

gap of roughly 30% between price and published targets is a measure of how far positioning has diverged from sell-side modelling, and it is the same configuration seen in Cohu -- targets raised into a falling price.

Risk seven: governance offers no remedy. Huffman may be deemed to control approximately 70.7% of voting power on an economic interest of roughly 3-4%, through the irrevocable proxy over Advance's Class B shares. There is no mechanism by which outside shareholders can influence the Google decision, the marketing budget or the pace of buyback execution. That is not a reason to avoid the equity -- founder control has served this company well -- but it does mean the downside case has no self-correcting feature, and it warrants a discount that the current multiple does not obviously contain.

8 VALUATION CONTEXT

Company	Mkt cap	Revenue basis	Forward P/S	Other multiples	End-market exposure
Reddit (RDDT)	US\$32-36bn	US\$663m in Q1 2026; FY26 tracking ~US\$3.1bn	8.95x	Trailing P/E 48.3x; forward P/E 31.8x; PEG 0.73; EV/EBITDA 46.7x; EV/FCF 34.2x	94% advertising, 6% data licensing. ~80% United States by revenue, but ~56% of daily users international
Meta Platforms (META)	Mega-cap	US\$60.8bn in Q2 2026	5.32x	Operating margin fell to 31% from 43%; FCF US\$784m in the quarter after US\$31.1bn of capex	Advertising across Facebook, Instagram and WhatsApp; 3.60bn daily active people; Reality Labs losing US\$4.6bn a quarter
Alphabet (GOOGL)	Mega-cap	Not restated here	8.06x	2026 capex guided US\$180-190bn	Search, YouTube, Cloud. Simultaneously Reddit's distribution channel, licensing customer and competitor
Pinterest (PINS)	Mid-cap	Not restated here	2.53x	n/d here	Visual discovery advertising; the cleanest read on what the market will pay for a mid-cap intent-led ad platform

Bull case. Reddit is a business with 91.5% gross margins, US\$4m of annual capital expenditure, 69% revenue growth and a 40% adjusted EBITDA margin that reached its own IPO-era target early, and it is being valued as though the growth is about to break. If tonight's print delivers the usual 8-10% beat, guides Q3 above the Street, and management signals that the Google and OpenAI renewals are heading toward usage-based pricing, then three things re-rate at once: the near-term estimate line, the credibility of the 100m US daily user ambition, and the option value on a licensing line that one sell-side estimate puts at US\$550m a year against roughly US\$130m today -- about 13% of revenue at a near-95% incremental margin. On a 0.73 PEG and 31.8x forward earnings with roughly US\$2.8bn of net cash and a US\$1bn buyback authorised, a stock 22% lower year to date with 9-12% of the shares short and an average target near US\$227 does not need much to move a long way. All four of the last four prints produced a positive reaction, twice in double digits.

Bear case. The revenue beat is the easy part and it is not the question. The question is whether a platform that gets roughly 59% of its daily users from logged-out, mostly search-referred traffic can keep growing users while Google answers the questions that used to send them. The published evidence from comparable publishers -- traffic down about 50% at USA Today and more than 85% at Business Insider over twelve months -- describes the mechanism, and Reddit's own US daily uniques growing 7% while it spends double on marketing describes the early symptom. In that world the 8.95x forward sales multiple is the wrong anchor entirely: what you own is a business whose pricing power is real, whose volume growth is decaying in its most valuable geography, whose licensing line has grown at 7-15% for three quarters despite the AI narrative, and whose tax rate is about to normalise. The de-rating trigger is not a revenue miss; it is the first quarter in which US daily uniques go sideways and management cannot point to a licensing renewal to

change the subject.

9

WHAT MOVES IT NEXT -- EARNINGS SIGNAL MAP

ELI5 — Why this section exists

You cannot watch everything. This table names the single data point in each upcoming report that will actually move the name, so that monitoring time goes to the reports that can change a decision rather than the ones that merely produce news.

Company	Next earnings	Days away	The one metric	Why it matters
Reddit (RDDT)	30 Jul 2026 (Q2)	Tonight	US daily active uniques against 53.98m consensus, and the Q3 revenue guide against a roughly US\$800-820m bar	The reported quarter is close to determined by the guidance-beat pattern. What is not determined is whether the US user base grew sequentially at all, and what management guides for Q3 against a quarter that grew 68%. Q4 2024 showed that a 71% revenue beat with a user miss is worth minus 14%.
Reddit -- Google licence	Not a scheduled event	Unknown	Whether the renewal is announced, and whether pricing moves to usage-based	Larger than any quarter in the model. A repriced deal is worth up to roughly 13% of revenue at near-95% margin on one sell-side estimate; a lapse costs under 2% of revenue but risks the logged-out user base if it escalates to crawler blocking. Watch for an 8-K rather than an earnings release.
Alphabet (GOOGL)	Late Oct 2026 (Q3, est.)	~90 days	AI Overviews monetisation commentary and any disclosure on publisher traffic or licensing programmes	Alphabet is the counterparty on all three of Reddit's Google exposures. Any signal that AI Overviews are being expanded, or that Google is systematising publisher payments, reprices Reddit's licensing option directly.
Meta Platforms (META)	Late Oct 2026 (Q3, est.)	~90 days	Whether the Q3 revenue range of US\$61-64bn is met at the upper end, and the trajectory of price per ad after +12%	The best available proxy for performance-advertising demand and pricing. Reddit's ARPU story requires industry ad pricing to keep rising; Meta reports it first and at a scale that leaves no ambiguity.
Pinterest (PINS)	Late Jul / early Aug 2026 (Q2, est.)	~days	Mid-cap ad platform growth rate and the multiple the market assigns to it	Not a read on Reddit's fundamentals but the closest read on relative valuation. Pinterest at 2.53x forward sales frames what Reddit's 8.95x is actually paying for.

Prioritisation. Read tonight's release in this order. First, US daily active uniques against 53.98m, because that is the number with the demonstrated capacity to overwhelm a good revenue print. Second, the logged-in and logged-out split, because this is one of the last quarters Reddit intends to disclose it and it is the only direct measure of search dependency available to outside investors. Third, the Q3 revenue guide, remembering that this company guides roughly 10% below what it delivers, so a guide that looks conservative is not itself bearish -- what matters is the guide relative to the pattern rather than relative to the Street. Fourth, any language on the Google and OpenAI renewals. Only fifth, the reported revenue and earnings, which the model above brackets fairly tightly and which are the least likely part of the release to contain new information.

A

VERIFICATION LOG

Companies checked: 5 (Reddit, Meta, Alphabet, Pinterest, Snap). Verified clean: 5. Data items flagged: 6. Verification date: 30 July 2026.

Item	Status	Note
RDDT ticker, exchange, report date	CLEAN	NYSE: RDDT. Q2 2026 release after market close on Thursday 30 July 2026, confirmed by company announcement and by TipRanks as 'after close, confirmed'
Q2 2026 guidance	CLEAN	Revenue US\$715-725m and adjusted EBITDA US\$285-295m, from the Q1 2026 earnings call transcript and press release
Q1 2026 actuals	CLEAN	Revenue US\$663m, ad revenue US\$625m, other revenue US\$39m, gross margin 91.5%, net income US\$204m, diluted EPS US\$1.01, DAUq 126.8m, capex US\$1m -- company press release and SEC 8-K exhibit
Q3 2025, Q4 2025 and Q2 2025 actuals and guidance	CLEAN	All taken from the company's own quarterly press releases filed as 8-K exhibits, including the guidance ranges of US\$535-545m, US\$655-665m and US\$595-605m
Meta Q2 2026 print	CLEAN	Revenue US\$60.8bn, ad revenue US\$59.36bn, EPS US\$6.18, Q3 guide US\$61-64bn, capex US\$31.08bn, legal charge US\$2.4bn, severance US\$1.18bn -- company release of 29 July 2026
Governance and share structure	CLEAN	141,965,642 Class A and 50,543,398 Class B at 29 April 2026; Huffman approximately 70.7% of voting power via the Advance Voting Agreement; Advance holds 42,191,092 Class B -- Schedule 13D/A and DEF 14A
Consensus revenue	FLAGGED	Three feeds give US\$744.94m (Zacks), US\$732.82m (Benzinga) and US\$731.07m (GuruFocus), a 1.9% spread. The model uses the hardest figure. Whether tonight is reported as a beat may depend on which feed a given publication uses
Consensus EPS	FLAGGED	US\$0.95 (TipRanks), US\$0.97 (Benzinga, GuruFocus), US\$0.99 (Zacks). Reddit publishes no non-GAAP EPS, so these are GAAP diluted estimates; one aggregator quoted Q1 2026 EPS as US\$1.31 against the company's reported US\$1.01, so provider definitions are not consistent
Share price and market capitalisation	FLAGGED	Presented as US\$170-180 and US\$32-36bn. stockanalysis.com showed US\$32.48bn on 26 July and US\$35.73bn on 21 July; a US\$227.23 target described as 27.66% above the last price implies about US\$178. No single point figure is defensible
Share count	FLAGGED	192.5m outstanding across both classes per the 13D/A, against 206.4m fully diluted per the company. One aggregator shows shares up 13.6% year on year while the company reports fully diluted shares up 0.2%, because Class B conversions inflate the Class A series
Short interest	FLAGGED	16.99m shares, described as 8.82% of shares outstanding at 26 July, but as roughly 12% of float in mid-June. Quote the basis
Q1 2026 adjusted EBITDA of US\$265m	EST.	Derived as the reported 40% margin applied to US\$663m of revenue; the company reported the margin rather than the dollar figure in the sources used
Net income / EBITDA conversion of 76%	EST.	Back-solved from reported net income and adjusted EBITDA for Q3 2025, Q4 2025 and Q1 2026 (69%, 77%, 77%). It is a modelling device, not a company metric, and it embeds an abnormally low tax charge of about US\$2.4m over the trailing twelve months
Licensing values	EST.	US\$60m a year for Google is a reported figure; US\$70m for OpenAI is an estimate; the US\$550m renegotiated scenario is a single sell-side estimate cited in press coverage. All directional
Product portfolio detail	EST.	Reddit does not disclose a product-line revenue breakdown. Formats are described by category rather than by brand name deliberately, to avoid attributing product names that could not be verified
Options-implied move	NOT OBTAINED	Not available through the sources used. Pull the front-expiry straddle before acting on the reaction framing in section 7

B

ACRONYM GLOSSARY

Acronym	Full name and meaning
AI	Artificial intelligence
API	Application programming interface -- here, the paid channel through which Reddit delivers structured data to licensees
ARPU	Average revenue per unique -- quarterly revenue in a geography divided by average DAUq in that geography
CMA	Competition and Markets Authority, the United Kingdom competition regulator
DAUq	Daily active uniques -- a user identified by unique identifier who visited reddit.com or opened a Reddit app at least once in a 24-hour period, averaged across the quarter

Acronym	Full name and meaning
EBITDA	Earnings before interest, tax, depreciation and amortisation
EPS	Earnings per share
EV	Enterprise value -- market capitalisation plus debt less cash
FCF	Free cash flow
GAAP	Generally Accepted Accounting Principles
LLM	Large language model
NOL	Net operating loss carryforward -- past losses that shelter current taxable income
PEG	Price/earnings-to-growth ratio
P/S	Price-to-sales ratio
RLHF	Reinforcement learning from human feedback -- the alignment stage of model training that consumes human preference data
SBC	Stock-based compensation
WAUq	Weekly active uniques -- the same definition as DAUq over a trailing seven-day period

C**DISCLAIMER**

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